Corporate Lending Automation System

Intelligent Credit Assessment Platform

CREDIT ASSESSMENT REPORT

Application Number	CLA_20260828_00009
Company	Hero MotoCorp Limited
Registration No.	L35911DL1984PLC017354
Loan Amount Requested	RM 1,000,000
Loan Purpose	Working Capital
Tenure	12 months
Pipeline Status	Approved
Preliminary Decision	APPROVED
Report Generated	2026-08-28 09:05 UTC

CON

This report is CONFIDENTIAL and intended solely for the use of authorised personnel of the lending institution. It contains sensitive financial information about the applicant company and must not be disclosed to third parties without written authorisation.

1. Application Overview

Application No.	CLA_20260828_00009
Loan Amount	RM 1,000,000
Loan Purpose	Working Capital
Tenure	12 months
Interest Rate Requested	—
Collateral Description	Not provided
Collateral Value	N/A
Current Status	Approved
Final Decision	APPROVED
Assigned Officer	Not assigned
Decision Reason	RECOMMENDATION: APPROVE — The composite risk score of 0.0/100 is in the 'Very Low' range. The XGBoost model estimates a 0.0% probability of default. This application represents a low-risk lending opportunity.

2. Company Profile

Company Name	Hero MotoCorp Limited
Registration Number	L35911DL1984PLC017354
Tax ID	—
GST Number	—
Company Type	Public Limited
Industry	Automotive
Incorporation Date	—
Country	India
Registered Address	Bangalore, kengeri,BGS health and Education city 560060education city Boys hostel block 2.
City / State	Banglore, Karnataka
Contact Email	hero@gmail.comm
Contact Phone	—
Annual Turnover	RM 40,923
Employees	9527

3. Submitted Documents

#	Type	Filename	Financial Year	Size (KB)	Status
1	Other	Hero_MotoCorp_Company_Details_and_All_25_Fields_FY	—	3.6	Extracted

4. Financial Data — OCR Extraction

Financial Metric	Extracted Value	Financial Metric	Extracted Value
Cash & Cash Equivalents	RM 289	**Cost of Revenue**	RM 26,550
EBIT	RM 6,095	**Short-term Debt**	RM 39
EBITDA	RM 6,921	**Accounts Payable**	RM 5,566
Shareholders' Equity	RM 19,807	**Interest Expense**	RM 20
Revenue / Turnover	RM 40,756	**Operating Profit**	RM 6,095
Inventory	RM 1,576	**Total Liabilities**	RM 8,113
Net Worth	RM 19,807	**Accounts Receivable**	RM 1,442
Net Profit / PAT	RM 4,610	**Current Liabilities**	RM 6,847
Tax Expense	RM 1,518	**Financing Cash Flow**	RM -3,500
Gross Profit	RM 14,206	**Investing Cash Flow**	RM -1,050
Total Assets	RM 27,920	**Operating Cash Flow**	RM 4,310
Current Assets	RM 12,837	**Depreciation & Amortisation**	RM 776
Long-term Debt	RM 124		

5. Financial Ratios Analysis

Overall Financial Health: GOOD

Ratio	Value	Unit	Risk Level	Benchmark	Interpretation
Debt Ratio	0.2906	x	Very Low	0.3 – 0.6	Excellent: Debt Ratio of 0.29x shows that only 29.1% of assets are financed by debt.
Quick Ratio	1.6447	x	Low	1 – 2	Healthy: Quick Ratio of 1.64x. Liquid assets adequately cover current liabilities witho...
Current Ratio	1.8749	x	Low	1.5 – 3	Healthy: Current Ratio of 1.87x indicates strong short-term liquidity. The company can ...
Ebitda Margin	16.98%	%	Low	12 – 30	Good: EBITDA Margin of 16.98%. Strong operational cash generation.
Asset Turnover	1.4598	x	Low	0.5 – 1.5	Good: Asset Turnover of 1.46x. Efficient use of asset base to generate revenue.
Cash Flow Ratio	0.6295	x	Medium	0.5 – 1	Moderate: Cash Flow Ratio of 0.63x provides some coverage.
Working Capital	5990.05	RM	Low	—	Positive: Working Capital of RM 5,990 provides a buffer for short-term operations.
Operating Margin	14.95%	%	Low	10 – 25	Good: Operating Margin of 14.95%. Healthy operating efficiency.
Return On Assets	16.51%	%	Very Low	5 – 15	Excellent: ROA of 16.51%. Highly efficient use of assets.
Return On Equity	23.27%	%	Very Low	10 – 25	Excellent: ROE of 23.27%. Exceptional shareholder value creation.
Debt Equity Ratio	0.4096	x	Very Low	0.5 – 2	Excellent: Debt-Equity Ratio of 0.41x reflects conservative financing with equity domin...
Net Profit Margin	11.31%	%	Low	5 – 20	Good: Net Profit Margin of 11.31%. Solid bottom-line profitability.
Financial Leverage	1.4096	x	Very Low	1.5 – 4	Excellent: Financial Leverage of 1.41x. Conservative use of debt financing.
Inventory Turnover	16.8464	x	Very Low	4 – 12	Excellent: Inventory Turnover of 16.85x. Very fast inventory cycling — strong sales or ...
Current Asset Ratio	0.4598	x	Low	0.3 – 0.6	Healthy: Current Asset Ratio of 0.46x shows a balanced asset structure.
Gross Profit Margin	34.86%	%	Low	20 – 60	Good: Gross Profit Margin of 34.86%. Adequate cost efficiency.
Receivable Turnover	28.2638	x	Very Low	6 – 15	Excellent: Receivable Turnover of 28.26x. Very fast collection cycle.
Interest Coverage Ratio	305.9578	x	Very Low	2.5 – 5	Excellent: ICR of 305.96x. Strong earnings coverage for interest payments.
Operating Cash Flow Ratio	10.58%	%	Low	10 – 25	Good: Operating Cash Flow Ratio of 10.58%. Healthy cash conversion.
Debt Service Coverage Ratio	91.9655	x	Very Low	1.25 – 2	Excellent: DSCR of 91.97x. Strong debt servicing capacity.

6. Rule Engine Evaluation

Verdict: PASS	Rules Evaluated: **11**	Rules Triggered: **0**	ML Pipeline: **Will Run**

Priority	Rule Name	Category	Metric Value	Threshold	Mandatory	Status	Action
10	**Minimum Current Ratio**	Liquidity	1.8749	1	Yes	**PASS**	Reject
20	**Positive Net Profit Margin**	Profitability	11.31	—	Yes	**PASS**	Reject
30	**Maximum Debt-to-Equity**	Leverage	0.4096	4	Yes	**PASS**	Reject
40	**Minimum Interest Coverage**	Coverage	305.9578	1.5	Yes	**PASS**	Reject
50	**Positive Working Capital**	Liquidity	5990.05	—	Yes	**PASS**	Reject
60	**Minimum Operating Margin**	Profitability	14.95	-0.05	Yes	**PASS**	Reject
70	**Maximum Debt Ratio**	Solvency	0.2906	0.9	Yes	**PASS**	Reject
110	**Quick Ratio Check**	Liquidity	1.6447	0.8	No	**PASS**	Manual Review
120	**DSCR Adequacy**	Coverage	91.9655	1.25	No	**PASS**	Manual Review
130	**ROA Performance**	Profitability	16.51	0.02	No	**PASS**	Manual Review
140	**ROE Floor**	Profitability	23.27	0.05	No	**PASS**	Manual Review

7. ML Prediction & Risk Assessment

Model Used	Xgboost
Probability of Default	0.04%
Composite Risk Score	0.0 / 100
Risk Level	VERY LOW
Prediction Outcome	Low Risk

Risk Score Bar: [■■■■■■■■■■■■■■■■■■■■] 0.0%

Top Predictive Factors (SHAP Analysis):

Feature	SHAP Value	Direction
Interest Coverage Ratio	-1.3506	↓ **Reduces Risk**
Operating Margin	-1.2737	↓ **Reduces Risk**
Financial Leverage	+0.7528	↑ **Increases Risk**
EBITDA Margin	-0.5637	↓ **Reduces Risk**
Return on Assets	-0.5564	↓ **Reduces Risk**
Working Capital to Total Assets	-0.4234	↓ **Reduces Risk**
Return on Equity	-0.3565	↓ **Reduces Risk**

Current Ratio	-0.0970	↓ **Reduces Risk**
Debt Ratio	+0.0898	↑ **Increases Risk**

Model Explanation:
The XGBoost model assigns a low probability of default (0.0%), suggesting acceptable credit risk. Key factors increasing default risk: 'Financial Leverage', 'Debt Ratio'. Mitigating factors reducing default risk: 'Interest Coverage Ratio', 'Operating Margin', 'EBITDA Margin'.

Model Comparison (Training Evaluation):

Model	Accuracy	Precision	Recall	F1	ROC-AUC	CV ROC-AUC
Xgboost	0.918	0.254	0.795	0.385	0.914	0.996 ± 0.001
Random Forest	0.935	0.301	0.773	0.433	0.945	0.992 ± 0.002
Logistic Regression	0.886	0.200	0.841	0.323	0.934	0.951 ± 0.004

8. Credit Recommendation

RECOMMENDATION: APPROVE — The composite risk score of 0.0/100 is in the 'Very Low' range. The XGBoost model estimates a 0.0% probability of default. This application represents a low-risk lending opportunity.

9. Officer Notes

No officer notes recorded at the time of report generation.

Report generated by Corporate Lending Automation System on 2026-08-28 09:05 UTC. This is a system-generated document and does not require a physical signature.